1. Liability of Newness

- **What it Means**: New businesses often fail because they lack a proven track record, and their members struggle to adapt to new roles.
- **Why It's a Problem**:
  - Team members may not fully understand the challenges of operating a new venture.
  - The lack of established business processes makes operations inefficient.
- **How to Overcome It**:
  - Assemble a skilled management team with experience in startups or the industry.
  - Build credibility and gain early trust from stakeholders like customers, partners, and investors.

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2. New-Venture Team

- **Definition**: The team includes founders, employees, and advisors who drive the business from concept to a fully functioning firm.
- **Key Points**:
  - The team evolves over time as the company grows and can afford to add members.
  - It includes more than just paid employees. Boards of directors, advisors, and external professionals are part of this team.

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3. Founding Team

- **Founders' Influence**: The founders' skills, decisions, and leadership directly shape the company's culture and growth path.
- **Team Size**:
  - Studies show that 50%-70% of new ventures are started by multiple founders.
  - Teams bring diversity in expertise but can also face conflicts.
- **Advantages**:
  - More skills and ideas.
  - Wider social and professional networks for support and growth.
  - Emotional and psychological backing among cofounders.
- **Disadvantages**:
  - Team members may disagree on critical decisions.
  - Conflicts can arise over leadership roles and work habits.
  - Duplication of skills can limit the breadth of expertise.

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4. Key Attributes of a Strong Team

- **Diversity**: Teams with varied skills and backgrounds are more effective than homogeneous ones.
- **Education**: Higher education enhances problem-solving and entrepreneurial skills.
- **Experience**:
  - Prior entrepreneurial experience helps avoid costly mistakes.
  - Industry experience improves networking, marketing, and management capabilities.
- **Networking**:
  - Broad professional and social networks allow access to capital, know-how, and referrals.

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5. Recruiting and Selecting Employees

- **Tailored Recruitment**:
  - Startups may operate with founders initially, adding employees as needed.
  - A skills profile helps identify gaps and prioritize recruitment.
- **Sources of Labor**:
  - **Full/Part-Time Employees**: Work on-site using company tools and policies.
  - **Interns**: Offer fresh talent at a lower cost while gaining experience.
  - **Freelancers**: Flexible, project-based workers who bring expertise.
  - **Virtual Assistants**: Remote professionals offering administrative or technical support.

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6. Board of Directors

- **Role**:
  - Legally required for corporations.
  - Members oversee management and strategic direction.
- **Responsibilities**:
  - Appoint officers of the company.
  - Declare dividends.
  - Monitor corporate affairs.
- **Value to Startups**:
  - Provides legitimacy to attract investors and customers.
  - Offers strategic guidance and industry connections.

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7. Board of Advisors

- **What It Is**:
  - A nonbinding, advisory panel that helps management with decisions.
  - Unlike the board of directors, it has no legal responsibilities.
- **Benefits**:
  - Easier to attract members due to lower commitment and no legal liability.
  - Enhances credibility and provides targeted advice.
- **Best Practices**:
  - Ensure meaningful roles to avoid disillusionment.
  - Select advisors with complementary skills.
  - Define confidentiality rules clearly.

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8. Lenders and Investors

- **Contributions**:
  - Provide funding and help recruit key team members.
  - Offer insights into target markets and business strategies.
  - Help establish partnerships and fine-tune the business model.
- **Added Value**:
  - Introduce the firm to additional sources of capital.
  - Act as a stabilizing force during uncertainties.

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9. Other Professionals

- **Key Players**:
  - Attorneys ensure legal compliance and protect intellectual property.
  - Accountants manage financial records and tax obligations.
  - Business consultants advise on strategy and operations.
- **Types of Consultants**:
  - Paid consultants offer specialized expertise.
  - Nonprofit/government-supported consultants provide affordable guidance.

These points create a comprehensive view of building a new-venture team, with strategies to overcome challenges and maximize the strengths of diverse team members. Let me know if you'd like an even deeper dive into any specific area!